A clearer way to compare mutual funds

Use mandate, portfolio risk, costs and consistency to compare funds beyond headline returns.

STUDY NOTES | BEGINNER

01 / Match the mandate to the goal

Read the scheme's stated objective, category and permitted assets before looking at returns. A short-term goal and a long-term equity allocation ask different questions of a fund. The scheme name alone is not enough to understand its risk.

Check the current scheme information document, key information memorandum and factsheet through official sources. Risk labels, portfolio holdings and terms can change, so use current documents rather than an old screenshot.

02 / Look beneath the return number

Compare returns over matching periods with the appropriate benchmark and peers. Rolling returns show outcomes across multiple starting dates, whereas a single point-to-point return can depend heavily on the chosen dates.

Examine drawdowns, concentration, turnover and whether a fund's approach changed. Past performance does not assure future results. A high return with a concentrated portfolio may represent risks that do not fit your goal.

MAKE IT PRACTICAL
For two funds, record category, benchmark, date of factsheet, top-sector exposure and concentration. Explain whether the comparison is fair.

03 / Understand costs and access

Expense ratio reduces the return available to investors. Direct and regular plans have different cost structures; choosing between them should also account for whether you need and receive advice or service.

Read exit-load conditions and redemption rules. An exit load is different from tax, and a low expense ratio does not by itself make a fund suitable. Liquidity, credit risk and interest-rate sensitivity matter for debt-oriented portfolios.

- Plan and option selected.
- Expense ratio and any exit-load period.

- Redemption timeline and restrictions.
- Tax treatment checked against current official guidance.

04 / SIP is a method, not a guarantee

A systematic investment plan spreads contributions over time. It can support discipline and reduce dependence on one entry date, but it does not turn a risky portfolio into a guaranteed-return product.

Size contributions so they can continue through realistic income changes. A recurring investment should not cause you to borrow for ordinary expenses. Review the goal and contribution plan after material changes in your finances.

05 / Document the selection

Use a short scorecard with a reason for inclusion and a reason for rejection. Avoid adding several funds with almost identical holdings and mistaking their number for diversification.

MAKE IT PRACTICAL
Scorecard: goal fit | mandate | concentration | downside behaviour | costs | manager/process continuity | reasons to review. Write what would cause you to stop new contributions.

Sources and further reading

Original educational guide. Examples are hypothetical; this is not personalised investment advice or a promise of returns. Free download for personal study.

SEBI Investor: https://investor.sebi.gov.in/
SEBI due diligence: https://investor.sebi.gov.in/due_diligence.html
Zerodha Varsity modules: https://zerodha.com/varsity/modules/
External references for further learning; their material is not reproduced here.